AR 2EB

ALAMEDA RESEARCH 2: ELECTRIC BOOGALOO

LONG HORIZONS · STRUCTURAL SHIFTS · IMAGINATION

INTERNAL RESEARCH · MEMO · NOT INVESTMENT ADVICE · AI-ASSISTED

# Autodesk

NASDAQ : ADSK · Mature-Company DCF

$51.66B mkt cap · 211M sh · $2.6B cash, $2.5B debt · $2.60B cash vs $2.50B debt — roughly net-cash-neutral (~$0.1B net cash); ~211M shares; ~$448M buyback in Q1 FY27; Revenue $7.21B FY26 (+18% as-reported); GAAP op margin ~21.9%, non-GAAP ~39%; FCF $2.4B; ~98% subscription/recurring; Down ~17% YTD to ~$245; Starboard (~$500M, proxy fight) pushing margins

22 October 2026 · the qualitative

**$244.84**

## THE CENTRAL QUESTION

### Does mission-critical CAD lock-in plus a Starboard-forced margin expansion to ~45% offset a maturing top line — or has growth matured into the price?

Autodesk trades at ~$51.7B (~$245, down ~17% YTD) — ~21x FCF on $7.21B revenue, a ~98%-recurring CAD/design franchise, roughly net-cash-neutral. The +18% as-reported growth is flattered by an agency→direct billing change; underlying (cc-adjusted) growth is nearer ~8-12%. The bull is durable switching-cost lock-in plus a Starboard-forced lift toward ~45% operating margin by FY28; the bear is maturing growth and activist/execution noise. The finding is +24.5%: the bear sits -12% and the modal case +24% on the lower underlying growth.

## PROBABILITY-WEIGHTED EXPECTED VALUE

most likely case (base) +24.0% · 39% at or below spot

**$304.79**

expected fair value today

+24.5% vs spot $244.84

## FORWARD COMPOUNDED VALUE

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $456.72 | $684.75 | $1,027.14 | $1,541.57 |
| 1.87× spot | 2.80× spot | 4.20× spot | 6.30× spot |

## WEIGHTING RATIONALE

**Ultra Bear 13%** Growth stalls; activist fizzles; ~$149 (-39%).

**Bear 26%** Underlying ~6%; partial margin lift; $216 (-12%).

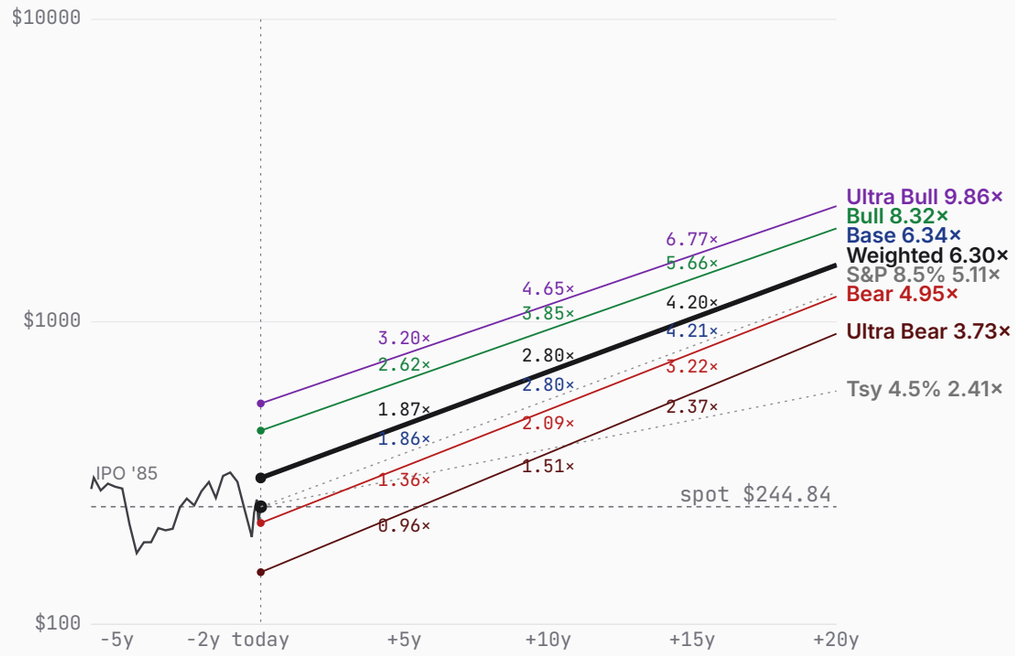
**Base 34%** Underlying ~8-12%; margins to mid-30s; ~$304 (+24%).

**Bull 19%** Activist delivers; margins near 45%; ~$437 (+78%).

**Ultra Bull 8%** ~45% margin + AI/cloud re-accel; ~$537 (+119%).

Bull (19%) + Ultra Bull (8%) together contribute $126.01 — 41% of the $304.79 expected value despite 27% combined probability. Today's spot ($244.84) sits 20% below the weighted expected.

## PRICE + PROJECTIONS · HISTORICAL THROUGH PROBABILITY-WEIGHTED FORWARD




## ULTRA BEAR — $148.74

-39.3% vs spot

CAGR +4.0% WACC 9.5%
CAGR +4.0% Prob 13%

Growth stalls; activist fizzles.

## BEAR — $216.32

-11.6% vs spot

CAGR +6.4% WACC 9.0%
CAGR +6.4% Prob 26%

Underlying ~6%; partial margin lift.

## BASE — $303.52

+24.0% vs spot

CAGR +9.0% WACC 8.5%
CAGR +9.0% Prob 34%

Underlying ~8-12%; margins to mid-30s.

## BULL — $436.97

+78.5% vs spot

CAGR +10.4% WACC 8.0%
CAGR +10.4% Prob 19%

Activist delivers; margins near 45%.

## ULTRA BULL — $537.38

+119.5% vs spot

CAGR +12.0% WACC 7.8%
CAGR +12.0% Prob 8%

Margins hit ~45%; AI/cloud re-accelerate.

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# Autodesk scenario narratives

## PROBABILITY WEIGHTS

Ultra Bear 13% Bear 26% Base 34% Bull 19% Ultra Bull 8% · Weighted expected $304.79 (+24.5% vs spot)

## ULTRA BEAR $148.74

-39.3% vs spot

Probability 13%

### Growth stalls; activist fizzles.

#### WHY 13%

The genuine bear: growth is already maturing (decelerating mid-teens before the billing flatter), activist campaigns can stall, and a construction/manufacturing cycle can bite. 13% weight on growth stalling with the margin lift fizzling.

#### WHAT HAPPENS

Underlying growth keeps fading toward ~4% as construction/manufacturing softens and the model-transition tailwind rolls off, while the Starboard campaign stalls: margins inch up but never approach the ~45% target. The franchise holds but compounds slowly off a flat top line.

A slow-growth, ~mid-20s% FCF-margin software franchise de-rates to a ~15x terminal FCF multiple — DCF ~$149 (-39%). The recurring base and near-net-cash balance sheet set the floor, but a stalled catalyst caps the value below today's price.

## BEAR $216.32

-11.6% vs spot

Probability 26%

### Underlying ~6%; partial margin lift.

#### WHY 26%

Lock-in holds and Starboard extracts some efficiency, but growth deceleration and execution noise keep the lift partial. 26% as the plausible 'defends but under-delivers the activist plan' path.

#### WHAT HAPPENS

Underlying growth settles around ~6% as AEC and cloud (Forma/Fusion) only partly offset a maturing core, and Starboard wins a partial cost program — operating margin grinds from low-20s toward ~27%, well short of ~45%. FCF margin firms toward ~30% but the re-rate is muted.

DCF ~$216 (-12%) — a 'matures but defends, margins only partly improve' path lands below today's price. The switching-cost lock-in keeps the multiple from collapsing; the upside is capped without the full margin program.

## BASE $303.52

+24.0% vs spot

Probability 34%

### Underlying ~8-12%; margins to mid-30s.

#### WHY 34%

Requires lock-in to hold ~8-12% underlying growth AND Starboard to push margins materially higher over FY27-FY28 — consistent with the ~$500M stake, the comp realignment, and the under-earned margin gap. 34% as the central outcome.

#### WHAT HAPPENS

The modal path: underlying (cc, model-adjusted) growth holds ~8-12% as AEC/construction and cloud/AI (Fusion, Forma, agentic AI) compound on a mission-critical, ~98%-recurring base, while Starboard-driven cost discipline lifts operating margin from ~22% toward the mid-30s en route to the ~45% goal. FCF margin expands toward ~34%.

DCF ~$304 (+24%) — durable lock-in plus a credible margin program at ~21x terminal FCF re-rates the de-rated entry. On the lower underlying growth (not the +18% headline) the modal case still recovers well above spot; this is the core of the finding.

## BULL $436.97

+78.5% vs spot

Probability 19%

### Activist delivers; margins near 45%.

#### WHY 19%

Starboard's record plus a genuinely under-earned margin structure make a large lift credible; lock-in protects growth while costs are cut. ~19% weight on the activist plan substantially landing.

#### WHAT HAPPENS

Starboard's program lands close to plan: operating margin marches toward ~38% by FY30 (the ~45% adjusted target on a non-GAAP basis) on sales-optimization, headcount, and capital return, while AEC/construction + cloud/AI keep underlying growth low-teens. FCF margin inflects toward ~37%.

DCF ~$437 (+78%) - if the under-earned margin gap closes against a still-growing, locked-in franchise, the entry re-rates to a high-quality compounder multiple. This is the activist-success core of the bull.

## ULTRA BULL $537.38

+119.5% vs spot

Probability 8%

### Margins hit ~45%; AI/cloud re-accelerate.

#### WHY 8%

Everything works - the full activist margin target AND an AI/cloud growth re-acceleration AND a multiple re-rate. ~8%, the asymmetric upside.

#### WHAT HAPPENS

The full second act: Starboard's ~45% operating margin is reached, AI/cloud (Fusion, Forma, agentic design) re-accelerate underlying growth into the low-to-mid-teens, and Autodesk compounds as both a margin and a platform story. FCF margin reaches ~40%.

DCF ~$537 (+119%) - the franchise re-rates to a premium design-platform multiple as growth AND margins both inflect; ~8% probability, the long-duration tail the depressed entry is buying.

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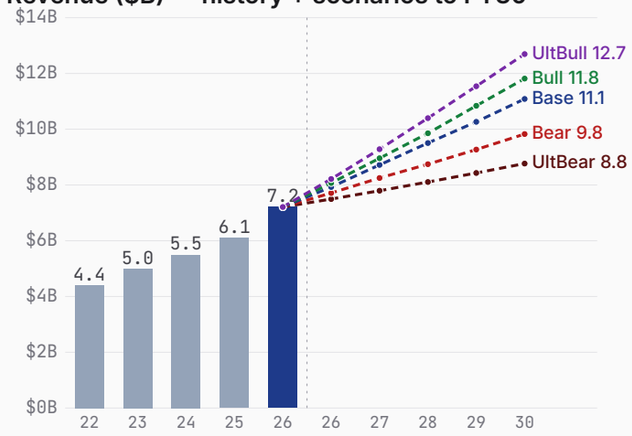
# Autodesk business snapshot



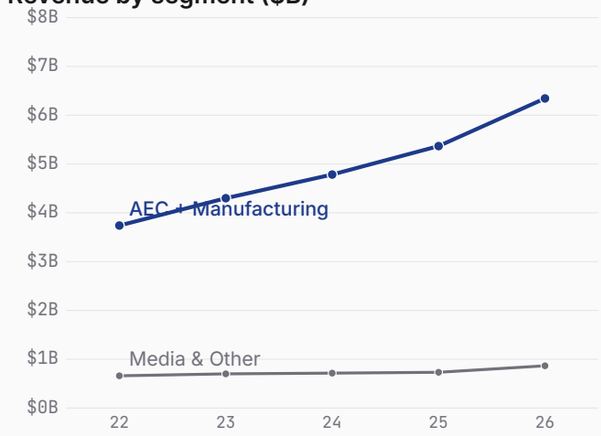
Bear $216.32 Base $303.52 Bull $436.97

FY22-FY26 history + FY26-FY30 scenario projections · fiscal years end late Jan · FQ1 FY2027 (Apr'26) results

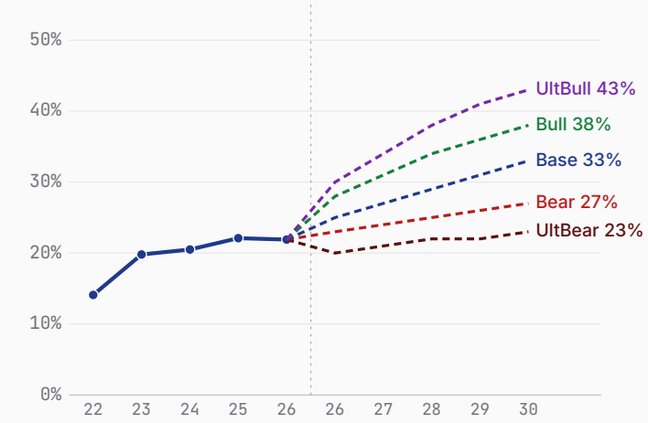
## Revenue ($B) — history + scenarios to FY30



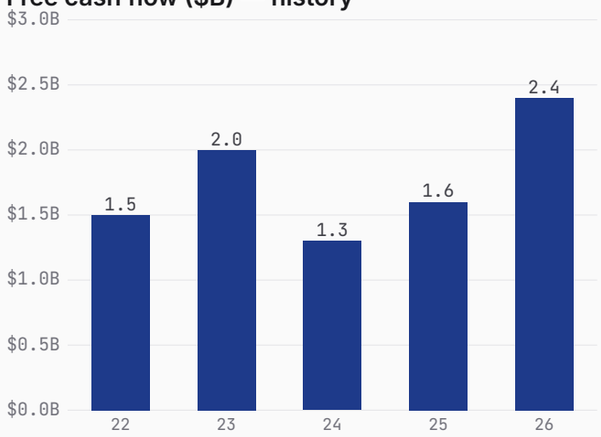

## Revenue by segment ($B)



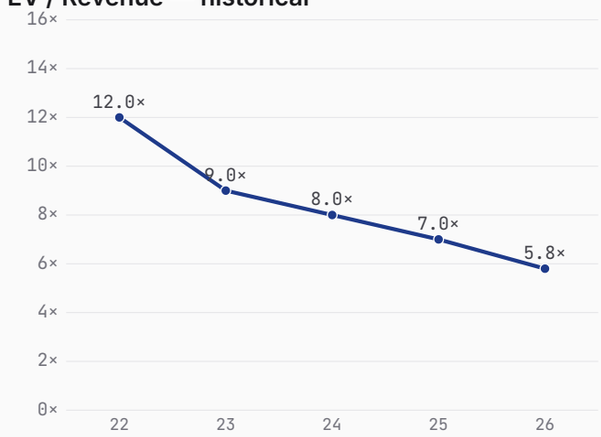

## Op margin — history + scenarios



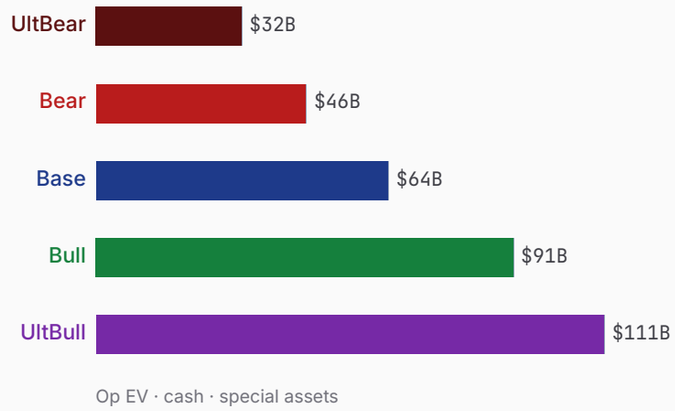

## Free cash flow ($B) — history




## EV / Revenue — historical




## Equity build (Op EV + net cash)




Sources: SEC XBRL company facts (CIK 769397), Autodesk FQ1 FY2027 release (revenue $1.93B/+18% cc +16%, billings $2.13B/+18%, non-GAAP operating margin ~39%, FCF $876M/+58% seasonal peak, RPO $7.81B/+9%), Starboard ~$500M stake / ~45% FY28 operating-margin push. Revenue is a growth path off FY26 (base uses underlying cc/model-adjusted ~8-12%, NOT the +18% headline); FCF = revenue x FCF margin; Gordon terminal. Multiples vs PTC, ANSS, ADBE, DASSY.

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# Autodesk 7 Powers · the moat, scored

Bear $216.32 Base $303.52 Bull $436.97

**Arena.** Design/engineering software — Autodesk (CAD/BIM franchise: AutoCAD, Revit, Fusion, Construction Cloud) vs PTC, Dassault, Ansys, Bentley, Adobe, and emerging cloud-CAD; auditing a switching-cost Power against maturing growth and an activist-forced margin reset.

**POWER AUDIT**
dominant-power durability: high

## POWER AUDIT · 7 POWERS

| | |
|---|---|
| **Scale Economies** ■■■ | R&D and go-to-market leverage across a ~$7.2B, ~98%-recurring base; large vs CAD peers, the cost base Starboard is targeting. |
| **Network Economies** ■■□ | File-format + ecosystem effects (.dwg/.rvt as industry standards, partner/plug-in ecosystem) — real but more standard than two-sided network. |
| **Counter-Positioning** ■□□ | Was the desktop-CAD disruptor; now the subscription incumbent, with cloud-CAD challengers counter-positioning against it. |
| **Switching Costs** · thesis leans here ■■■ | The dominant Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates and deep workflow integration make migration costly and rare. |
| **Branding** ■■■ | AutoCAD/Revit are category-defining, mission-critical brands with pricing power across architecture/engineering/manufacturing. |
| **Cornered Resource** ■■□ | The installed file-format standards + decades of drawing data are a quasi-cornered asset, though not legally exclusive. |
| **Process Power** ■■□ | Emerging via the Starboard cost program (sales-optimization, comp realignment) and cloud/AI delivery — the margin-expansion lever, unproven at the ~45% target. |

## PEER SET

**PTC** — 10% gr · 27% mgn · ~30x EV/FCF
CAD/PLM peer (Creo, Windchill); recurring-software comp on growth and margin.

**Dassault Systemes** — 8% gr · 30% mgn · ~30x P/E
CAD/PLM scale leader (SolidWorks, CATIA, 3DEXPERIENCE); the closest large-cap design franchise.

**Ansys** — 11% gr · 40% mgn · ~30x EV/FCF
Simulation leader (now Synopsys-owned); adjacency in engineering software.

**Bentley Systems** — 10% gr · 28% mgn · ~35x P/E
Infrastructure-engineering software; direct AEC competitor in civil/infrastructure.

## THREAT VECTORS · FALSIFIERS

**Switching Costs** · Cloud-CAD challengers / open file formats
falsifier: A credible browser-native CAD platform or open .dwg/.rvt interoperability erodes lock-in and lifts churn.

**Scale Economies** · Maturing growth + construction/manufacturing cycle
falsifier: Underlying (ex-billing-change) growth decelerates below ~6% as end-markets soften, de-levering the operating model.

**Process Power** · Starboard rebuffed / margin program stalls
falsifier: Operating margin stays near ~22% and the ~45% target slips, confirming the under-earned gap won't close.

### COMPETITIVE READ

Autodesk's dominant Power is switching costs — CAD/file-format lock-in (.dwg/.rvt), trained workforces, BIM mandates, and deep workflow integration make its ~98%-recurring base sticky and mission-critical, durability high — reinforced by category-defining branding and real scale. The live audit question is not whether the moat holds but whether two things stack on top of it: a maturing top line (the +18% as-reported figure is flattered by the billing change; underlying is ~8-12%) and a Starboard-forced lift toward ~45% operating margin, a process-power catalyst that is unproven at target. The threats are a cloud-CAD/open-format challenge to lock-in, a construction/manufacturing cycle, and the activist program stalling. The ~17% de-rate to ~21x FCF prices maturing growth heavily; the DCF tests lock-in plus the margin catalyst, and the bear sits -12%, the modal case +24% on the lower underlying growth — cheap quality with a catalyst, with activist/execution noise the watch-out.

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# Autodesk show your work

Bear $216.32 Base $303.52 Bull $436.97 · Weighted $304.79 (+24.5%)

## ULTRA BEAR $148.74

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +4.0 |
| Year-5 op margin (%) | 23.0 |
| WACC (%) | 9.5 |
| Terminal growth (%) | 3.0 |
| Terminal FCF ($B) | $2.37B |
| Starting revenue ($B) | 7.21 |
| Scenario probability (%) | 13 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 7.49 | +20% | +1.80 | +1.64 |
| FY27 | 7.79 | +21% | +1.95 | +1.63 |
| FY28 | 8.11 | +22% | +2.11 | +1.61 |
| FY29 | 8.43 | +22% | +2.19 | +1.52 |
| FY30 | 8.77 | +23% | +2.37 | +1.50 |

| | |
|---|---|
| Σ PV explicit FCF | +7.90 |
| + PV terminal (g 3.0%) | 23.83 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $31.73B |
| + Cash & investments | $2.60B |
| − Total debt | $2.50B |
| = Equity value | $31.83B |
| FY30 shares (M) | 214 |
| **= Expected per share** | **$148.74** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $234.15 | $368.61 | $580.28 | $913.50 |
| 0.96× | 1.51× | 2.37× | 3.73× |

## BEAR $216.32

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +6.4 |
| Year-5 op margin (%) | 27.0 |
| WACC (%) | 9.0 |
| Terminal growth (%) | 3.5 |
| Terminal FCF ($B) | $2.95B |
| Starting revenue ($B) | 7.21 |
| Scenario probability (%) | 26 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 7.71 | +23% | +2.08 | +1.91 |
| FY27 | 8.25 | +24% | +2.31 | +1.94 |
| FY28 | 8.75 | +25% | +2.54 | +1.96 |
| FY29 | 9.27 | +26% | +2.78 | +1.97 |
| FY30 | 9.83 | +27% | +2.95 | +1.92 |

| | |
|---|---|
| Σ PV explicit FCF | +9.70 |
| + PV terminal (g 3.5%) | 36.06 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $45.76B |
| + Cash & investments | $2.60B |
| − Total debt | $2.50B |
| = Equity value | $45.86B |
| FY30 shares (M) | 212 |
| **= Expected per share** | **$216.32** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $332.84 | $512.11 | $787.94 | $1,212.35 |
| 1.36× | 2.09× | 3.22× | 4.95× |

## BASE $303.52

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +9.0 |
| Year-5 op margin (%) | 33.0 |
| WACC (%) | 8.5 |
| Terminal growth (%) | 3.5 |
| Terminal FCF ($B) | $3.77B |
| Starting revenue ($B) | 7.21 |
| Scenario probability (%) | 34 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 7.93 | +25% | +2.30 | +2.12 |
| FY27 | 8.72 | +27% | +2.70 | +2.30 |
| FY28 | 9.50 | +29% | +3.04 | +2.38 |
| FY29 | 10.26 | +31% | +3.39 | +2.44 |
| FY30 | 11.09 | +33% | +3.77 | +2.51 |

| | |
|---|---|
| Σ PV explicit FCF | +11.75 |
| + PV terminal (g 3.5%) | 51.89 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $63.64B |
| + Cash & investments | $2.60B |
| − Total debt | $2.50B |
| = Equity value | $63.74B |
| FY30 shares (M) | 210 |
| **= Expected per share** | **$303.52** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $456.39 | $686.25 | $1,031.89 | $1,551.61 |
| 1.86× | 2.80× | 4.21× | 6.34× |

## BULL $436.97

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +10.4 |
| Year-5 op margin (%) | 38.0 |
| WACC (%) | 8.0 |
| Terminal growth (%) | 4.0 |
| Terminal FCF ($B) | $4.37B |
| Starting revenue ($B) | 7.21 |
| Scenario probability (%) | 19 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 8.07 | +28% | +2.50 | +2.32 |
| FY27 | 8.96 | +31% | +2.96 | +2.53 |
| FY28 | 9.85 | +34% | +3.45 | +2.74 |
| FY29 | 10.84 | +36% | +3.90 | +2.87 |
| FY30 | 11.82 | +38% | +4.37 | +2.98 |

| | |
|---|---|
| Σ PV explicit FCF | +13.43 |
| + PV terminal (g 4.0%) | 77.36 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $90.79B |
| + Cash & investments | $2.60B |
| − Total debt | $2.50B |
| = Equity value | $90.89B |
| FY30 shares (M) | 208 |
| **= Expected per share** | **$436.97** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $642.05 | $943.39 | $1,386.14 | $2,036.70 |
| 2.62× | 3.85× | 5.66× | 8.32× |

## ULTRA BULL $537.38

### ASSUMPTIONS

| | |
|---|---|
| 5y revenue CAGR (%) | +12.0 |
| Year-5 op margin (%) | 43.0 |
| WACC (%) | 7.8 |
| Terminal growth (%) | 4.0 |
| Terminal FCF ($B) | $5.08B |
| Starting revenue ($B) | 7.21 |
| Scenario probability (%) | 8 |

### 5-YEAR DCF · $B

| FY | Rev | Margin | FCF | PV FCF |
|---|---|---|---|---|
| FY26 | 8.21 | +30% | +2.63 | +2.44 |
| FY27 | 9.28 | +34% | +3.25 | +2.80 |
| FY28 | 10.40 | +38% | +3.85 | +3.07 |
| FY29 | 11.54 | +41% | +4.50 | +3.33 |
| FY30 | 12.69 | +43% | +5.08 | +3.49 |

| | |
|---|---|
| Σ PV explicit FCF | +15.13 |
| + PV terminal (g 4.0%) | 95.47 |

### EQUITY BUILD · $B & PER SHARE

| | |
|---|---|
| Operating EV | $110.60B |
| + Cash & investments | $2.60B |
| − Total debt | $2.50B |
| = Equity value | $110.70B |
| FY30 shares (M) | 206 |
| **= Expected per share** | **$537.38** |

### FUTURE FAIR VALUE · IF SCENARIO PLAYS OUT

| +5y | +10y | +15y | +20y |
|---|---|---|---|
| $782.30 | $1,138.86 | $1,657.92 | $2,413.55 |
| 3.20× | 4.65× | 6.77× | 9.86× |

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# Autodesk People · Opportunity · Context · Deal



Bear $216.32 Base $303.52 Bull $436.97

Underwrite the position the way a venture investor underwrites a round — across all four legs, public or private. **People** is the leg scored here (observable only); Opportunity, Context and Deal cross-reference the rest of the memo.

## PEOPLE · WHO RUNS / OWNS / FUNDS IT

### Andrew Anagnost

9 yrs in seat

**0.5%**
insider ownership

**LOW**
key-person risk

**Capital allocation (realized)**
Disciplined capital return. No dividend since 2004; buybacks are the primary return and are accelerating ($1.4B in FY2026 against a $10B authorization), outpacing heavy SBC ($788M FY2026) so the share count net-declines (~229M in 2009 to ~211M in 2026). Balance sheet is roughly net-cash (~$3.0B cash + securities vs ~$2.5B notes). M&A is programmatic tuck-ins, not transformational.

**Incentive alignment**
CEO pay is heavily equity-weighted (FY2026 total ~$30.1M, ~90% stock, ~4% salary). Say-on-pay passed in 2026. Insider Form 4 activity is mostly grants + tax-withholding; a recent alignment signal is CFO Janesh Moorjani's open-market BUY of 2,500 shares (~$0.5M) in Jun 2026.

GOVERNANCE FLAGS

- single class, one vote per share; no controlling or super-voting holder
- strong structure: an independent Chair (Stacy Smith) separate from the CEO, 11 directors with 10 independent (~91%), all-independent committees, and an annually-elected (declassified) board
- central flag - a FY2024 audit-committee investigation into free-cash-flow / non-GAAP operating-margin practices (FY2022-24): discretionary spend, collections, and AP timing were informed by their effect on FCF/margin targets; NO restatement, but remedial measures and an NT 10-K / delayed 10-K resulted
- CFO turnover around the probe (Clifford → interim Rafael → permanent Moorjani, 2024)
- Starboard Value activist campaign (2024-25, ~$500M stake, publicly urged a CEO change) settled Apr 2025 with two new independent directors (Epstein, Simons) + a standstill

## THE FOUR LEGS

**People** ●●●○○
observable composite · 1–5

**Opportunity**
The scenario distribution · the business snapshot · the Arthur Indicator

**Context**
The 7 Powers analysis (Power Audit)

**Deal**
Open-market common — entry price weighed against the probability-weighted fair value, then position-sized.
+24.5% vs spot $244.84

**PEOPLE READ**

Structurally clean governance - single-class one-vote, an independent Chair split from a long-tenured professional CEO, a ~91%-independent declassified board, and buyback discipline that shrinks the share count. Held to a 3 by the FY2024 free-cash-flow / non-GAAP-margin reporting investigation (no restatement, but a real control-environment flag), the CFO turnover around it, and the Starboard campaign that had to force accountability.

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# Autodesk supporting analysis · disclaimers · glossary

Bear $216.32 Base $303.52 Bull $436.97

## PUSHBACK · WHY THE BASE CASE IS TOO HARSH

1 **The +18% growth is a billing-model mirage.**
The agency→direct model inflates as-reported revenue/billings/FCF; the base uses the lower underlying ~8-12%, and still lands +24%.

2 **Switching costs are the real moat.**
CAD/file-format lock-in (.dwg/.rvt, trained workforces, BIM mandates) makes Autodesk mission-critical - the durability, not the growth rate.

3 **Starboard is forcing an under-earned margin.**
A ~$500M stake + proxy fight pushing ~45% operating margin by FY28 against ~22% today is the explicit margin catalyst, not a growth bet.

4 **Maturing growth is the live risk.**
Decelerating mid-teens (before the billing flatter), cyclical end-markets, and execution/CEO noise keep the bear (-12%) and ultra-bear (-39%) live.

5 **Roughly net-cash-neutral; no solvency risk.**
$2.60B cash vs $2.50B debt (~$0.1B net cash) on $2.4B FCF — no solvency risk; the downside is multiple/margin execution.

## FALSIFICATION TRIGGERS

**Bull validation**

Starboard margin program ratified, operating margin steps toward mid-30s+ · underlying (cc/model-adjusted) growth holds >=8% · RPO/billings re-accelerate ex-model-change · AEC + cloud keep outperforming

**Bear validation**

underlying growth decelerates below ~6% ex-billing-change · the activist program stalls and margins stay near ~22% · construction/manufacturing cycle turns down · CEO/execution disruption

**Reframe needed**

if the lock-in cracks (a cloud-CAD challenger or open file formats erode .dwg/.rvt switching costs) OR Starboard exits with margins unchanged, re-rate the terminal toward a slow-growth, mid-20s-margin software multiple

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## GLOSSARY · CONCEPTS REFERENCED IN THE NARRATIVE

**Switching costs** — Helmer Power: CAD/file-format lock-in (.dwg/.rvt), trained workforces, and BIM mandates that make leaving Autodesk costly — the dominant, durable moat.

**Starboard / activist** — Starboard Value's ~$500M stake and proxy fight pushing ~45% adjusted operating margin by FY28, comp realignment, and a CEO reassessment — the explicit margin catalyst (a process-power story).

**AEC** — Architecture, Engineering & Construction — Autodesk's largest segment (Revit, AutoCAD, Construction Cloud); the outperforming end-market plus Manufacturing (Fusion) drives the top line.

**FCF margin** — Free cash flow / revenue (~33% FY26 as-reported); the mature-DCF swing factor — whether the activist-forced operating-margin lift toward ~45% converts to free cash flow.

**New transaction model** — The agency→direct billing change that inflates as-reported revenue/billings/FCF growth; the base strips it out to the lower underlying (cc, model-adjusted) ~8-12% rate.